

# Global Bank Retail Credit Policy (2025)

## 1. Introduction and Scope

This document outlines the standard retail credit policy for evaluating personal loans and credit lines. The purpose of this policy is to ensure responsible lending practices while maintaining the bank's risk appetite. All applications must be scored using the approved internal Machine Learning models, and human analysts must review high-risk accounts referencing these guidelines.

## 2. Debt-to-Income (DTI) Ratio

The Debt-to-Income (DebtRatio) is calculated as total monthly debt payments divided by gross monthly income. A DTI ratio above 40% (0.40) generally requires secondary review. A DTI ratio exceeding 50% (0.50) is considered high risk and normally results in automatic decline, unless mitigating factors such as significant liquid reserves are present.

## 3. Revolving Utilization of Unsecured Lines

Revolving utilization is the total balance on unsecured credit lines divided by the total credit limit. Utilization above 30% begins to negatively impact credit scores. Utilization exceeding 80% (0.80) is a strong indicator of financial distress. Accounts with > 100% (1.0) utilization are in strict violation of policy and are classified as critical risk.

## 4. Delinquency and Past Due Behavior

Historical payment behavior is the strongest predictor of future default. Any instance of being 90 Days Late (NumberOfTimes90DaysLate > 0) within the last 24 months flags the account for immediate review. Multiple instances of 30-59 or 60-89 days past due (CombinedPastDue) also indicate cash flow problems. Under current guidelines, an applicant with more than 3 combined derogatory marks should not be approved for unsecured credit.

## 5. Income and Dependents

When assessing Monthly Income, analysts must consider the Number of Dependents. The disposable income per dependent (IncomePerDependent) is used to estimate true repayment capacity. Extremely low declared monthly income (e.g., less than \$1,500 for a family of 4) must trigger manual verification.

## 6. Age and Demographics

The bank does not discriminate based on age. However, credit scoring models may capture length of credit history which often correlates with age. Younger applicants may require alternative data evaluation. Applicants under 18 cannot enter legally binding credit agreements.